

Strategic Value Institutional Composite

As of 2/28/2015



Investment Approach

- The Strategic Value strategy is unconstrained and may invest in securities across all market capitalizations, countries, as well as, across all facets of capital structures; including and not limited to common and preferred stocks, debt instruments, options, convertibles etc.
- Historically, the portfolio has invested primarily in equity based securities and utilized non-equity securities, including cash, opportunistically.
- The strategy draws from all aspects of Horizon's proprietary research and investment strategies.

Portfolio Construction

- The strategy generally seeks to avoid significant portfolio turnover which has historically averaged 20 to 25% per annum.
- The portfolio typically holds 35 to 70 securities and position sizes generally range from 0.5% to 10.0%.
- The portfolio seeks to manage co-dependency across business models and does not measure risk versus a specific benchmark.

Investment Time Horizon:
5+ Years

Representative Benchmark:
S&P 500

Asset Under Management:

Horizon Kinetics (\$bln)	9.2
Horizon Institutional (\$bln)	3.3
Strategy (\$mm)	370
Composite (\$mm)	247

Inception Date:
March 2000

Portfolio Manager:
Murray Stahl
37 yrs investment experience

(1) Horizon Kinetics LLC is the parent company to Horizon Asset Management LLC, Kinetics Asset Management LLC, and Kinetics Advisers, LLC, each of which is an SEC-registered investment adviser.

(2) Horizon Institutional is defined as the traditional, long only separate accounts and private investment fund assets managed by Horizon Asset Management LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. Please refer to Important Disclosures on the following page.

Performance Statistics	MTD	QTD	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	ITD
Total Return (gross)	8.2	5.6	5.6	1.2	19.1	17.7	10.3	11.3
Total Return (net)	8.1	5.5	5.5	0.2	17.9	16.5	9.2	10.1
S&P 500 Return	5.7	2.6	2.6	15.5	18.0	16.2	8.0	4.9
Excess Return (gross)	2.5	3.1	3.1	-14.3	1.1	1.5	2.3	6.3
Standard Deviation (%)	—	—	—	13.4	12.9	16.2	19.6	16.9
Tracking Error (%)	—	—	—	6.9	6.8	6.7	8.9	10.3
Sharpe Ratio	—	—	—	0.1	1.4	1.1	0.5	0.6
Information Ratio (arith)	—	—	—	-2.1	0.2	0.2	0.3	0.6
Beta	—	—	—	1.4	1.2	1.1	1.2	0.9
UpMkt Capture Ratio (%)			143	74	109	112	126	111
Down Capture Ratio (%)			80	229	115	116	124	82

Top 10 Holdings	% Port
Howard Hughes Corporation	9.1%
Wendy's Company	5.2%
Jarden Corporation	4.9%
Liberty Media Corp Class C	4.5%
Icahn Enterprises L.P.	4.0%
AutoNation, Inc.	3.3%
Onex Corporation	3.2%
DreamWorks Animation SKG, Inc. Class A	2.6%
TRI Pointe Homes, Inc.	2.6%
Williams Companies, Inc.	2.5%

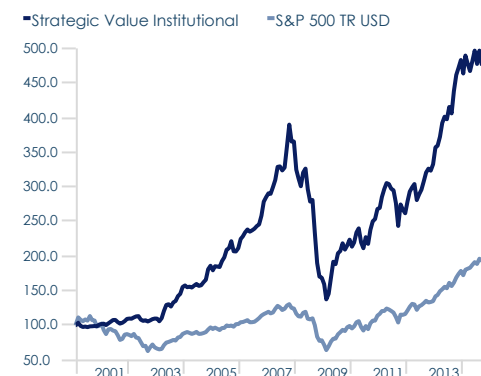
Strategy Characteristics	
Number of Positions	70
Av g. Market Cap. (B)	13.3
P/E ⁽¹⁾	21.5
Price/Book ⁽¹⁾	2.1
Dividend Yield	1.0%
Turnover (1 Year) ⁽²⁾	10.9%

(1) Weighted Harmonic Average

(2) Based on Model Portfolio

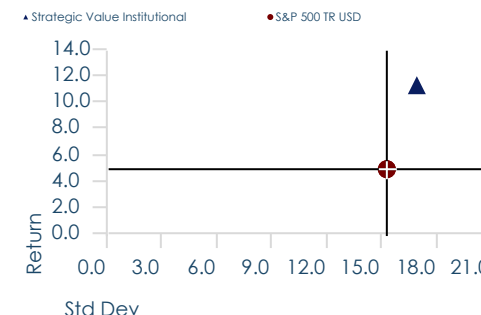
Cumulative Growth of \$100 (gross)

Time Period: 2/29/2000 to 2/28/2015



Risk/Reward (gross)

Time Period: 3/1/2000 to 2/28/2015



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As of 2/28/2015



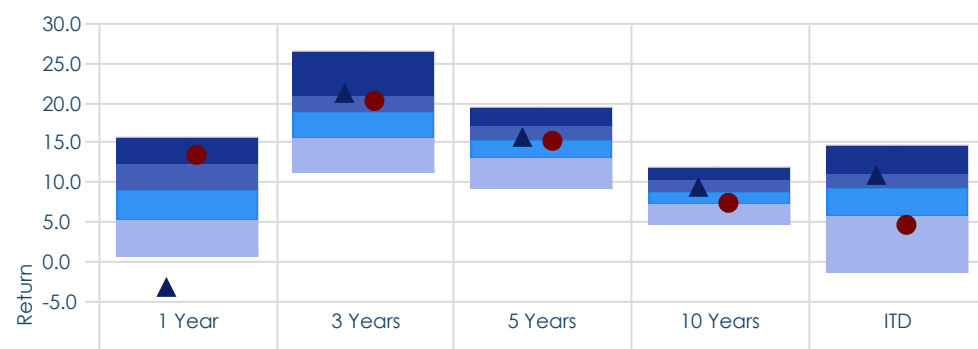
Performance Relative to Peer Group (gross)

As of Date: 12/31/2014 Peer Group (5-95%): Morningstar Institutional - All Cap

■ Top Quartile ■ 2nd Quartile ■ 3rd Quartile ■ Bottom Quartile

▲ Strategic Value Institutional

● S&P 500 TR USD



Monthly Performance (gross)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	Index
2015	-2.4	8.2											5.6	2.6
2014	-4.0	5.6	-2.5	-2.2	3.1	3.1	-3.9	4.0	-4.0	0.5	1.5	-3.6	-2.9	13.7
2013	7.4	0.6	3.6	5.4	2.3	-0.9	4.5	-2.2	7.9	5.3	2.2	2.4	45.3	32.4
2012	6.7	4.9	2.1	1.6	-7.6	2.9	2.4	4.1	4.1	1.8	-0.9	2.9	27.1	16.0
2011	0.6	5.8	4.0	2.9	-0.5	-2.2	-0.8	-6.3	-11.9	12.8	-2.7	-2.0	-2.3	2.1
2010	-4.5	2.8	6.7	2.5	-8.5	-3.8	7.6	-4.3	9.3	5.2	1.3	5.7	19.8	15.1
2009	-5.5	-13.8	5.9	15.7	13.9	-1.8	8.4	1.6	5.4	-4.2	2.9	3.8	32.6	26.5
2008	-11.1	-3.8	-3.7	6.6	1.8	-9.1	-6.0	0.8	-16.6	-19.0	-10.3	-0.9	-53.9	-37.0
2007	2.0	-0.3	3.4	3.4	6.1	0.2	-1.8	1.3	9.2	8.9	-6.3	0.0	28.2	5.5
2006	6.3	1.6	2.6	1.8	-1.3	0.8	1.0	1.6	1.0	5.1	7.8	2.3	34.8	15.8
2005	-3.6	3.3	-0.2	-0.4	4.7	2.8	5.6	1.1	4.8	-6.6	-0.1	2.3	13.7	4.9
2004	1.4	-1.6	0.5	-0.8	1.8	1.5	-1.8	0.6	2.7	2.2	9.2	2.8	19.8	10.9
2003	-0.1	-3.5	4.3	9.5	7.1	0.8	-2.5	4.7	1.6	5.2	2.3	6.8	41.6	28.7
2002	0.5	-0.2	1.7	1.3	0.4	-4.5	-1.6	0.8	-1.7	1.5	1.7	0.8	0.5	-22.1
2001	0.8	0.6	-2.0	2.4	2.4	2.3	0.1	-2.9	-2.1	1.2	2.2	3.1	8.1	-11.9
2000	—	—	3.5	-4.3	-1.7	0.6	-0.9	1.1	0.2	0.4	-0.5	2.6	0.9	-2.4

Source: Morningstar Direct

Definitions: Historical Statistics

- **Excess Return** is the measurement of a portfolio's return minus the return of the representative index.
- **Standard Deviation** is a statistical measure of the degree to which an individual value in a probability distribution tends to vary from the mean of the distribution.
- **Tracking Error** is the standard deviation of a portfolio's return relative to a benchmark.
- **Risk Adjusted Return** is a measure of how much an investment returned in relation to the amount of risk it took on; specifically, it is the ratio of strategy return over its volatility.
- **Information Ratio** is a ratio of portfolio returns above the returns of a benchmark (usually an index) to the volatility of those returns.
- **Beta** is a measure of the volatility, or systematic risk, of a security or a portfolio in comparison to the market as a whole.
- **Up-Market Ratio** is the statistical measure of an investment manager's overall performance in up-markets. The ratio is calculated by dividing the manager's returns by the returns of the index during the up-market, and multiplying that factor by 100.
- **Down-Market Ratio** is the statistical measure of an investment manager's overall performance in down-markets. The ratio is calculated by dividing the average manager's returns by the average returns of the index during the down-market, and multiplying that factor by 100.
- **Turnover** is the lower of total buys or total sells divided by the average market value of the account. Turnover ratio is calculated by Fiserv APL.

Important Disclosures

Horizon Asset Management Institutional ("Horizon Institutional" or "the firm") is defined as the traditional long only separate accounts and private investment fund assets of Horizon Asset Management LLC. ("Horizon" or the "firm"), an SEC-registered investment adviser and a wholly owned subsidiary of Horizon Kinetics LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. The firm maintains a complete list and description of composites, which is available upon request via CSBD@horizonkinetics.com.

Horizon Institutional claims compliance with the Global Investment Performance Standards (GIPS®).

The Strategic Value Investing Institutional Composite seeks above market long-term returns by investing primarily in a focused portfolio of global issuers in all facets of capital structures, including and not limited to common and preferred stocks, debt instruments, convertibles etc.

Performance is expressed in USD. Past performance does not guarantee future results and the value of the investments and the income derived from them may increase or decrease. These estimates have not been independently verified and are subject to change. Note that indices are unmanaged and the figures shown herein do not reflect any investment management fee or transaction costs. Investors cannot directly invest in an index. References to market or composite indices, benchmarks or other measures of relative market performance (a "Benchmark") over a specific period are provided for your information only. Reference to a Benchmark may not reflect the manner in which a portfolio is constructed in relation to expected or achieved returns, portfolio guidelines, correlation, concentrations, volatility or tracking error targets, all of which are subject to change over time. The Portfolio is a total return strategy and the benchmark is provided for illustrative purposes only. It is not our intention to state, indicate or imply in any manner that our future results will be profitable or equal past results.

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